digital payments, did demonetization structurally reduce the use of cash in India?

To assess this, we can look at a simple objective data point, namely Currency in Circulation (CIC).

Every fortnight, the RBI releases data on money supply and money in circulation. If demonetization had indeed succeeded in making India more 'cash less', CIC should have fallen post-demonetization and remained at much lower levels than pre-demonetization. The data is as follows:

Table 11: Currency in Circulation

Date	Currency in Circulation (₹ lakh crore/trillion)	Percentage of Pre-Demonetization CIC
4 November 2016	17.97	100 %
6 January 2017	8.98	50 %
30 June 2017	15.06	84 %
30 June 2018	19.12	106 %

Source: RBI Data on Money Supply, RBI Annual Report 2018

As is evident, Currency in Circulation, which fell drastically post-demonetization, is now higher than pre-demonetization levels. By this measure, the move failed to make India use less cash.

Another objective measure is the Currency (or Cash) to GDP ratio. Had demonetization succeeded in persuading Indians to use less cash, the Currency to GDP ratio should have declined. Unfortunately, as the RBI's Annual Report 2018 points out, demonetization failed on this score as well: 'India's currency to GDP ratio moved up to 10.9 per cent in 2017–18, returning to being amongst the highest levels of currency usage in peer emerging market economies and advanced economies as well. In consonance, the use of digital payments, which had surged to a peak in December 2016 in the aftermath of demonetisation, fell back to the elevated post-demonetisation trend.'